

May 13, 2022

Accounting for consumer receivables under Block's vs. Afterpay's accounting policies

Upon acquisition of Afterpay Limited ("Afterpay"), Block, Inc. (the "Company") made certain adjustments to the accounting and presentation of Afterpay's consumer receivables balance to align with the Company's accounting policies and presentation. As part of these adjustments as of the date of the financial statements, the Company reclassified 'cash in transit' from cash and cash equivalents to consumer receivables. Cash in transit represents ongoing repayments from consumers that have been sent from consumers' accounts but have not yet been received at the Company's bank account as of the date of financial statements. This classification change is consistent with the adjustments to the pro forma financial statements included in the Form 8-K/A filed on April 11, 2022. As of March 31, 2022, the consumer receivables balance related to cash in transit was \$92.9 million, and such amounts were included within the 1 to 60 days past due category in the aging analysis of the amortized cost of consumer receivables, disclosed in Note 6 to the Condensed Consolidated Financial Statements included in the Company's Quarterly Report on Form 10-Q for the quarter ended March 31, 2022. Additionally, under Afterpay's accounting policies, Afterpay's consumer receivable balance in the aging analysis was reported at the face values of the receivables, whereas the Company's consumer receivable balance is reported at the amortized cost of the receivables and hence net of any deferred revenue amounts, which were \$17.9 million as of March 31, 2022.

Excluding the effect of these adjustments, the 1 day and over past due amounts as of March 31, 2022 would have been \$115.0 million or 8.6% of the total consumer receivables balance as of March 31, 2022. Afterpay's reported 1 day and over past due consumer receivables amount as of June 30, 2021 was \$81.4 million or 6.9% of the total consumer receivables balance.